PRINCIPLES OF MANAGEMENT

University Subjective Examination & Strategic Case Study · Simplified Edition

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UNIT I: INTRODUCTION TO MANAGEMENT AND ORGANIZATIONS — TOTAL: 10 MARKS

Question 1 covers foundational definitions, roles, and skills. Question 2 covers history, forms of business, and external environments.

QUESTION 1 (Covers First Half of Unit I: Meaning, Skills, Roles & Types of Managers) — 5 Marks

Answer the following questions in simple and clear words:

a. **What is Management and is it an Art, Science, or Profession?** Give a clear definition of management. Discuss whether management should be considered a science (based on rules and facts), an art (based on personal skill and practice), or an emerging profession (like law or medicine). Also, compare an *entrepreneur* with a regular *employed manager* on risk, main goal, and rewards. *(2.5 Marks)*

b. **Managerial Skills and 10 Roles:** Explain the 3 core managerial skills described by Robert L. Katz: *Technical skills*, *Human skills*, and *Conceptual skills*. Why do top-level managers need more conceptual skills while lower-level supervisors need more technical skills? Finally, list and briefly describe Henry Mintzberg's 10 roles grouped into Interpersonal, Informational, and Decisional categories. *(2.5 Marks)*

QUESTION 2 (Covers Second Half of Unit I: Evolution of Management, Business Types & Environment) — 5 Marks

Answer the following questions using clean and direct explanations:

a. **How Management Ideas Grew Over Time:** Compare Frederick W. Taylor's *Scientific Management* (which focused on factory floor tasks and speed) with Henri Fayol's *Administrative Principles* (which gave 14 general rules for top managers). Next, explain what Elton Mayo discovered in the *Hawthorne Studies* about how human feelings and social groups affect factory work. Briefly state what the Modern Systems and Contingency ("If-Then") approaches say about running a firm. *(2.5 Marks)*

b. **Types of Business Organizations and External Environments:** Compare the three primary forms of business ownership—*Sole Proprietorship*, *Partnership*, and *Joint-Stock Company*—in terms of risk (personal liability), raising money, and business life. Then, explain what *organizational culture* means, and differentiate between a company's *Direct/Micro Environment* (customers, suppliers, rivals) and its *Macro/PESTLE Environment* (government laws, economy, technology). *(2.5 Marks)*

Syllabus Coverage Note: Together, Questions 1 and 2 thoroughly cover every topic in Unit I from your syllabus sheet without leaving any gaps or using heavy academic language.

UNIT III: ORGANISING AND HUMAN RESOURCE MANAGEMENT — TOTAL: 10 MARKS

Question 3 covers organizational design, authority, and delegation. Question 4 covers jobs, hiring, appraisal, and training.

QUESTION 3 (Covers First Half of Unit III: Structure, Line/Staff, Delegation & Centralization) — 5 Marks

Answer the following questions in straightforward language:

a. **Organization Structures & Formal vs. Informal Groups:** Explain the key differences between a *Formal organization* (official charts and designated roles) and an *Informal organization* (friendships and informal grapevine chat). Describe the three common organizational structures: *Functional*, *Divisional* (by product or region), and *Matrix*. Clearly explain why a Matrix structure often creates confusion and power struggles because an employee has two bosses. *(2.5 Marks)*

b. **Authority, Delegation, and Centralization:** Distinguish between *Line Authority* (managers who give direct orders) and *Staff Authority* (specialists who advise and give suggestions), and explain why arguments often happen between them. Define the three key parts of delegation: *Responsibility* (the job assigned), *Authority* (the power to do it), and *Accountability* (answering for results). When should a business keep decisions centralized at the top versus decentralizing them to local branches? *(2.5 Marks)*

QUESTION 4 (Covers Second Half of Unit III: Job Design, Staffing, Training & Appraisals) — 5 Marks

Answer the following questions with clear, simple examples:

a. **Job Design and the Hiring Process:** Compare *Job Simplification* (small, repetitive steps), *Job Enlargement* (adding more similar tasks), and *Job Enrichment* (giving more decision-making freedom and control). What is the difference between a *Job Description* (what the job entails) and a *Job Specification* (what qualifications the person needs)? Why is recruitment called a "positive step" (attracting many applicants) while selection is called a "negative step" (rejecting unqualified candidates)? *(2.5 Marks)*

b. **Training, Performance Reviews, and Career Growth:** What is the main difference between *Training* (teaching practical skills for a current job) and *Executive Development* (building broader leadership thinking for future roles)? Explain how modern *360-degree performance appraisals* work by collecting feedback from four different groups. Why is career planning and having a succession plan helpful for both employees and the company? *(2.5 Marks)*

Syllabus Coverage Note: Questions 3 and 4 together cover all of Unit III: nature of organizing, formal/informal setups, charts, structures, line/staff authority, delegation, centralization, job analysis, recruitment, selection, training, and performance reviews.

UNIT II: PLANNING · COMPREHENSIVE CASE STUDY — TOTAL: 10 MARKS

Read the real-world business case below and answer the 4 questions that follow (2.5 marks each).

CASE STUDY: PULSECARE TECHNOLOGIES — THE HIGH-RISK SHIFT

Background: PulseCare Technologies is a medical devices company founded four years ago in Bengaluru by two biomedical engineers. The company developed *CareMonitor Pro*, a specialized bedside heart and oxygen monitor for hospital ICUs. PulseCare operated with a clear, focused plan: they sold directly to 20 private hospitals, provided on-site technician training, and charged an annual maintenance fee. Over four years, this model was very successful. PulseCare made ₹10 Crores in steady revenue every year with a solid 25% net profit.

The Big Move: In January 2025, after securing ₹30 Crores in fresh investment funds, the founder decided to enter the direct consumer market. Instead of selling to hospitals, PulseCare would build a consumer smart wristband called *PulseBand Life* that everyday people could wear to track stress and early heart issues. The target was ambitious: sell 100,000 bands in 12 months at ₹4,999 each.

Bad Assumptions (Planning Premises): Top management built their plan on three key assumptions without verifying them: (1) their engineering team could shrink the hospital machine into a small wristband in only 4 months; (2) overseas microchip suppliers would deliver chips in 6 weeks at cheap prices; and (3) regular customers would buy the wristband immediately without questioning accuracy. However, within 5 months, global chip supply shortages pushed delivery times to 24 weeks and doubled chip prices. At the same time, the national health department issued new safety rules stating that any smart device claiming to detect heart disease must pass 8 months of strict hospital testing before public release.

Team Conflict & Poor Goal-Setting (MBO Failure): Rather than sitting down together to make a unified plan, management gave isolated, contradictory targets to each department. The Marketing team was told: "Get 40,000 online pre-orders immediately." Marketing spent ₹5 Crores on celebrity ads and social media campaigns, promising buyers delivery by June. Meanwhile, the Engineering team was told: "Do not release anything until the sensor is 99% accurate." Engineering found battery overheating issues and delayed the design four times. Marketing blamed Engineering for missing deadlines, while Engineering blamed Marketing for selling an unfinished prototype. Angry buyers demanded refunds, wiping out ₹4 Crores of cash reserves.

Flawed Decision-Making: Instead of pausing to re-evaluate their strategy rationally, the directors panicked. Feeling that they had already spent too much money and could not afford to lose face (the "sunk cost trap"), they rushed 15,000 untested wristbands to buyers. Within weeks, 40% of the bands stopped working, customers posted videos of overheating batteries online, and the brand's reputation was badly damaged. PulseCare is now in a crisis and needs a proper turnaround plan.

Case Analysis Questions (Answer in simple, clear points):

1. Planning Assumptions (Premises) — 2.5 Marks

What are *planning premises* (assumptions)? Look at PulseCare's situation and divide their assumptions into three simple groups: things they can directly control, things they can partly control, and external things they cannot control. What simple forecasting method could have helped them predict supply delays?

2. Fixing Goal-Setting (MBO and SMART Goals) — 2.5 Marks

Why did setting separate goals for Marketing and Engineering fail so badly at PulseCare? How could using Peter Drucker's *Management by Objectives (MBO)* and writing *SMART goals* (Specific, Measurable, Achievable, Relevant, Time-bound) help both teams work together smoothly?

3. Strategic Planning Tools (SWOT Analysis) — 2.5 Marks

How could a simple *SWOT analysis* (Strengths, Weaknesses, Opportunities, Threats) have stopped PulseCare from making this reckless jump? Give 1 concrete example for each of PulseCare's Strengths, Weaknesses, Opportunities, and Threats based on the story.

4. Rational Decision-Making & Correcting Mistakes — 2.5 Marks

What thinking mistake did management make when they shipped faulty bands because they had already spent so much money? List the clear step-by-step stages of a sensible *Rational Decision-Making Process* that the leadership should follow to resolve this crisis.

Clear, easy-to-memorize bullet notes designed for quick learning and university exam preparation.

UNIT I · QUESTION 1 MODEL ANSWER: MANAGEMENT CONCEPTS, ROLES & SKILLS

(a) Definition & Nature of Management: Management is the process of getting things done through and with people effectively (achieving goals on time) and efficiently (using minimum resources and cost).

- **Management as Science:** It has systematic principles, cause-and-effect rules, and proven methods tested through observation.
- **Management as Art:** It requires personal skill, real-life practice, creativity, and intuition to handle unique human situations.
- **Management as Profession:** It requires formal training and knowledge (like an MBA), but unlike medicine or law, anyone can legally become a manager without a mandatory license.
- **Manager vs. Entrepreneur:** An *Entrepreneur* starts the business, takes personal financial risk, and seeks new market opportunities. An *Employed Manager* runs an existing company, works for a salary, avoids personal financial loss, and focuses on daily efficiency.

(b) Katz Skills & Mintzberg's 10 Roles:

- **Robert Katz's 3 Skills:** (1) *Technical* (knowing how to do specific jobs/tools; needed most by lower-level supervisors); (2) *Human* (ability to communicate, motivate, and lead; needed equally across all levels); (3) *Conceptual* (seeing the big picture, long-term vision, and strategic thinking; needed most by top executives).
- **Mintzberg's 10 Roles:**
  • *Interpersonal:* Figurehead (formal ceremonies), Leader (guiding staff), Liaison (linking with outsiders).
  • *Informational:* Monitor (collecting news), Disseminator (sharing info inside), Spokesperson (speaking to media/public).
  • *Decisional:* Entrepreneur (starting new projects), Disturbance Handler (solving crises), Resource Allocator (dividing budgets/staff), Negotiator (bargaining deals).

UNIT I · QUESTION 2 MODEL ANSWER: MANAGEMENT EVOLUTION, BUSINESS FORMS & ENVIRONMENT

(a) Evolution of Management Thought:

- **Taylor's Scientific Management:** Bottom-up approach focused on factory workers. Used time-and-motion studies, standard tools, and piece-rate pay to boost physical speed and output.
- **Fayol's Administrative Theory:** Top-down approach for entire organizations. Developed 14 general principles (such as Unity of Command and Division of Work) and 5 functions: Planning, Organizing, Commanding, Coordinating, Controlling.
- **Mayo's Hawthorne Studies:** Proved that social relationships, feeling valued, informal group norms, and manager attention increase worker output far more than physical lighting or small pay changes.
- **Modern Approaches:** *Systems Approach* views the company as connected parts working together as an open system. *Contingency Approach* says there is no single best way to manage—the right action depends ("contingent") on the specific situation.

(b) Forms of Business Ownership & Environment:

Type	Personal Liability (Risk)	Raising Money	Continuity
Sole Proprietorship	Unlimited (personal assets can be taken for debt)	Difficult (limited to personal savings/loans)	Unstable (dies with the owner)
Partnership	Unlimited for all general partners	Moderate (funds pooled from partners)	Fragile (breaks if a partner leaves)
Joint-Stock Company	Limited to share value (personal assets safe)	High (shares sold to public or institutions)	Permanent (continues forever legally)

- **Direct/Micro Environment:** Groups having immediate daily contact with the firm: customers, suppliers, competitors, and distributors.
- **Macro/PESTLE Environment:** Broad external forces: Political, Economic, Social, Technological, Legal, and Environmental factors.
- **Organizational Culture:** The shared beliefs, core values, and everyday habits that shape how staff behave within an organization.

UNIT III · QUESTION 3 MODEL ANSWER: STRUCTURES, AUTHORITY & DELEGATION

- **Formal vs. Informal Organization:** Formal is officially created with written charts, rules, and designated duties. Informal grows naturally out of social relationships, shared lunches, and casual talk.
- **Organization Structures:** *Functional* groups by job type (R&D, Sales, HR; good for specialization, but causes department silos). *Divisional* groups by product or geography (e.g., Healthcare division, Consumer division; gives good focus but duplicates costs). *Matrix* combines functional and project teams (flexible for tech projects, but breaks Unity of Command because workers have two bosses, causing conflict).
- **Line vs. Staff Authority:** Line managers make decisions and issue orders along the chain of command. Staff specialists provide technical advice and support. Conflict happens when staff give suggestions that line managers feel are impractical.
- **The Delegation Triad:** *Responsibility* (the work given), *Authority* (the power to spend money or direct staff), and *Accountability* (answering for results; can never be delegated away).
- **Centralization vs. Decentralization:** Centralize (keep power at top) for small firms or during emergencies. Decentralize (give power to local branch heads) when the firm grows large, operates in many cities, and needs fast local decisions.

STUDY & MODEL ANSWER GUIDE: UNIT III (CONTINUED) & CASE STUDY SIMPLE POINT-BY-POINT NOTES

Easy step-by-step solutions for Human Resource Management and the PulseCare Case Study questions.

UNIT III · QUESTION 4 MODEL ANSWER: JOB DESIGN, HIRING & APPRAISALS

- **Job Design:** *Job Simplification* breaks jobs into tiny, repeated tasks (fast to learn, but workers get bored). *Job Enlargement* adds more tasks of the same difficulty (horizontal loading). *Job Enrichment* gives workers more planning power, responsibility, and freedom (vertical loading, boosts motivation).
- **Job Analysis Outputs:** Produces two written documents: (1) *Job Description* explains the duties, working conditions, and responsibilities of the role. (2) *Job Specification* lists the qualifications, education, experience, and human qualities needed by the applicant.
- **Recruitment vs. Selection:** Recruitment is a *positive process* because it invites and attracts as many applicants as possible. Selection is a *negative process* because it uses tests and interviews to filter out and reject unsuitable candidates to find the best fit.
- **Training vs. Development:** Training teaches short-term, specific skills for a worker's current job (e.g., learning new software). Executive Development builds long-term judgment, leadership skills, and strategic thinking for future top roles.
- **360-Degree Appraisal:** Evaluating employee performance by collecting feedback from 4 sources: their direct supervisor, their peers/colleagues, their subordinates, and outside customers.

UNIT II · CASE STUDY MODEL ANSWERS: PULSECARE TECHNOLOGIES

1. Planning Premises & Forecasting (2.5 Marks):

- **Meaning:** Planning premises are the basic assumptions and forecasts about the future upon which current plans are created.
- **Controllable Premises (Internal to PulseCare):** Product features, device selling price, and choosing which marketing channels to hire.
- **Semi-Controllable Premises:** Employee work hours, factory assembly speed, and agreements with domestic part makers.
- **Non-Controllable Premises (External):** Worldwide microchip shortages, shipping delays from foreign ports, and new government medical safety laws.
- **Forecasting Solution:** PulseCare should have used the *Delphi Technique* (asking panel experts for supply forecasts) and *Scenario Planning* (preparing Plan B in case chip deliveries were delayed).

2. Fixing Goal Alignment: MBO and SMART Goals (2.5 Marks):

- **Why MBO Failed:** Management gave separate, uncoordinated quotas. Marketing chased sales numbers, while Engineering chased perfection, creating finger-pointing instead of teamwork.
- **SMART Goal Solution:** Management and both teams should jointly set common goals that are:
  • **S**pecific: "Build and certify the PulseBand with 98% sensor accuracy."
  • **M**easurable: "Ensure battery life lasts at least 48 hours without overheating."
  • **A**chievable: "Manufacture 5,000 units for an initial test batch, not 100,000 all at once."
  • **R**elevant: "Help PulseCare enter preventive consumer healthcare safely."
  • **T**ime-bound: "Complete clinical hospital trials by Month 8 and ship first consumer orders by Month 10."

3. SWOT Analysis for PulseCare (2.5 Marks):

- **Strength (S):** 4 years of proven clinical experience and high credibility in hospital ICU monitoring.
- **Weakness (W):** No direct-to-consumer sales experience, weak customer support, and inexperienced in wristband battery cooling.
- **Opportunity (O):** Growing consumer demand for preventive health tracking devices in India.
- **Threat (T):** Sudden change in government medical regulations and severe global shortages of microchips.

4. Rational Decision-Making & Correcting Mistakes (2.5 Marks):

- **The Mistake:** Management fell into the *Sunk Cost Trap* (throwing more money into a broken product just because they had already spent so much) and showed *Overconfidence Bias* by ignoring safety warnings.
- **The 6 Rational Steps to Follow Now:**
  1. *Identify the Problem:* Acknowledge high product failures, customer complaints, and cash loss.
  2. *Set Decision Criteria:* Customer safety, brand reputation, regulatory compliance, and staying solvent.
  3. *Develop Alternatives:* (A) Completely recall faulty bands and refund users; (B) License their software algorithms to established smartwatch companies; (C) Return focus to their profitable hospital business while fixing the wristband properly.
  4. *Evaluate Alternatives:* Compare the financial cost and legal risk of each option.
  5. *Choose & Implement:* Recall the faulty bands immediately to protect brand trust, and renew hospital contracts to restore stable cash flow.
  6. *Follow-Up & Control:* Monitor refund progress and conduct regular safety testing on future hardware.